

Naturally, I—like everyone else who owns or controls businesses—have a great interest in management personnel selection. I believe there are certain universally applicable criteria by which a business executive's potential value to a company may be weighed.

I don't pretend that my personal yardsticks are infallible, but they are very similar to those used by a great many other successful businessmen, and they have proved fairly accurate through the years. Much of my own business success is due to my executives' loyalty and efficiency; thus I think it reasonable to assume that the criteria by which they were chosen and promoted are reliable.

How do I judge whether or not a man is—or would be— a good executive? I hold that the first acid test of an executive is his ability to think and act for himself. He should have the intelligence and ability to originate ideas, develop plans, implement programs, solve problems and meet situations without running constantly to his superiors for advice. In my opinion, a man who cannot do these things is not an executive. He is a glorified office boy.

63

Once, when I asked a leading American industrialist how he visualized the perfect management team, he conjured up the following picture of a businessman's nirvana:

"My executives would be men I could call into my office at nine **A.M.** on January first and tell them: 'Look, boys, the company has been making sausage skins for years. Last year, our profit was a million dollars. This year, I've decided that we stop making sausage skins and start turning out nuts and bolts.'

"At that, all the executives would smile, nod and file out of my office. I wouldn't see them again until five **P.M.** on December thirty-first. Then, they'd come back into my office to tell me we were producing the world's finest nuts and bolts, underselling our competitors by fifty percent—and had tripled our profits over the previous year!"